INDUSTRIAL TRAINING REPORT

BAKERTILLY EDIRISINGHE & CO.

W.A.R.V. PERERA

DEH/AC/2022/EXCP/0002

This report is submitted to the Department of Accountancy, Sri Lanka Advanced Technological Institute, Dehiwala, to partially fulfill the Industrial Training requirement for the Higher National Diploma in Accountancy.

Higher National Diploma in Accountancy

Sri Lanka Advanced Technological Institute

Dehiwala

Training Period: 18th August 2025 to 18th February 2026

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Declaration

I hereby declare that the internship report is based on my learning experience and does not incorporate any material previously submitted for a Diploma / Degree in any University or Institution to the best of my knowledge and it does not contain any material previously published or written by any other person except where due references are made in the text.

……..
Signature

Name: Ms. W. A. R. V. Perera

Student Number: DEH/AC/2022/EXCP/0002

Date: 2026/03/20

Acknowledgement

With the greatest pleasure and honor, I want to state that I am grateful to the following institutions and individuals tremendously and specifically because of their continuous support and guidance in successful completion of my training program of Industrial training that is a very necessary part of the Higher National Diploma in Accountancy and a great point of my professional career.

I would like to thank the lecturers of the Department of Accountancy of Sri Lanka Institute of Advanced Technological Education (SLIATE), Dehiwala first, that I got the opportunity to have practical working experience in the Industrial Training Program. This is the moment I want to show my special gratitude to Ms. Dilani Epitawela who is the Head of the Department of Accountancy because she has been supporting and encouraging us. I also wish to express my heart-felt gratitude to the Industrial Training Coordinator, Mr. Surath Edirisinghe, who has greatly helped and guided us during this training.

I am also grateful to Mr. Priyan Edirisinghe, Senior Managing Partner of Bakertilly Edirisinghe & Co., who gave me a chance to have my training in the company and offered me necessary advice and guidance as well as the facilities that allowed me to successfully complete my training. Also, I would like to give credit to the Entire Management, Supervisors, Senior Members, and the other trainees of Bakertilly Edirisinghe & Co. in terms of their support, collaboration, and in terms of sharing their practical experience and knowledge that helped me to make my training experience very fruitful and successful.

This report is an activity that was undertaken as part of my academic requirement at SLIATE and corresponds to the first six months of my Industrial Training which was conducted at Bakertilly Edirisinghe & Co. Even though I am presently in a one-year training program in the firm as an Audit Trainee, the scope of this report is between 18th August 2025 to 18th February 2026, which fulfills the Industrial Training requirement.

The procedure of operation and professional practice of Bakertilly Edirisinghe & Co. is a reputed audit firm in Sri Lanka, and this gives one a lot of exposure in the auditing field. Additional information on the organization and the way that I have been trained is covered in the other parts of this report.

……

Name of the candidate
Ms. W.A.R.V. Perera

Preface

This training report is presented in part as per the requirement of the Higher National Diploma in Accountancy (HNDA) at the Sri Lanka Institute of Advanced Technological Education (SLIATE), Dehiwala. It gives a detailed account of the hands-on experience and exposure to the practice of management that I attained during my internship at Bakertilly Edirisinghe & Co. The main intention of this internship was to close the gap between the academic theories studied in the classroom and the realism of professional accounting and auditing fields.

During that time, I was honored to take part in various tasks, such as statutory audit and tax compliance, as well as the implementation of the SLFRS/LKAS and IRD regulations into practice. This report chronicles how I have gone through the process of becoming a professional after graduating as a student, including how I have acquired technical skills in risk-based auditing, Computer-Assisted Audit Techniques (CAATs), and at the same time, how I have developed the necessary soft skills of professional skepticism, resilience, and ethical integrity. This is an experience that has contributed immensely towards my professional attitude and equipping me with the realities of working in the accountancy industry. I would like to believe that this report is a valuable reflection of my determination to unceasing development in the career and the standards of the accounting profession.

Executive Summary

The Higher National Diploma in Accountancy (HNDA) program offered by the Sri Lanka Institute of advanced technological education (SLIATE) Dehiwala makes a one-year internship obligatory part of the curriculum. This internship will serve to expose the students to a practical environment as well as to bridge the gap between provided theoretical knowledge at the academic level and practical application in the field of accountancy.

When deciding on an appropriate training institution, I have selected Bakertilly Edirisinghe & Co. a reputable audit firm in Sri Lanka with the view of having varied professional exposure. Although most students do their internship in the accounting sections of individual organizations, the training in an audit firm presents them with a wider exposure to various industries. This experience enabled me to receive firsthand experience in some of the major professional areas such as Auditing, Taxation, Financial Accounting, Information technology, Financial Management and Other Relevant Areas.

In the first six months of my internship that was expanded to 18th August 2025 to 18th February 2026, I was occupied with diverse professional tasks. These involved being involved in audit engagements, involvement in taxation processes, reviewing internal control systems as well as the review of financial statements. My experience with senior auditors and professionals helped me to develop first-hand knowledge about the approaches to the audit process, tax systems, the requirements related to compliance with the regulations, and business consulting services.

Besides the practical exposure, this training period further developed my knowledge on key professional standards and regulatory provisions including Sri Lanka Financial Reporting Standards (SLFRS), Sri Lanka Accounting Standards (LKAS) and Sri Lanka Auditing Standards (SLAuS). The experience also made my analytical power stronger, my skills in solving problems, and my skills in working in a professional working environment.

This report will provide an in-depth description of my internship experience with Bakertilly Edirisinghe & Co. It describes the organization background, tasks and responsibilities performed within the training period, professional knowledge gained, and the difficulties. Overall, the internship has contributed largely to my professional competence and has given me good grounds to venture into a future career in the audit and accountancy field.

CHAPTER 01 - Introduction of the Organization

- **Bakertilly Edirisinghe & Company**

Bakertilly Edirisinghe & Co. is a leading professional services and audit firm in Sri Lanka, established in 1985 by Mr. Priya Edirisinghe. Operating from its head office at 45, Braybrooke Street, Colombo, the partnership has built a strong reputation for reliability and quality. As an independent member of the global Bakertilly International network, the firm connects its local clients with international expertise spanning countries like the UK, Japan, and India.

The firm currently provides customized services to over 600 diverse audit clients. Dedicated to delivering top-tier solutions, the firm offers a wide array of services, including,

- Tax Services
- Governance, Risk and Compliance, Forensics and Data Analytics
- IT Audit and Information Security
- Valuation Services
- Outsourcing
- Consultancy and Advisory services

Contact No -: 0117 374 444

Website: https://www.bakertilly.lk/

Figure 1- Company Logo

CHAPTER 02 - Areas of Experience

2.1 Financial Accounting

Bakertilly Edirisinghe & Co. gave opportunity in preparing client records, demonstrating how accurate financial data supports business decisions and meets regulatory requirements.

2.2 Auditing

Bakertilly Edirisinghe & Co. offers experience in both internal and external audits, ensuring clients complied with SLFRS and LKAS standards as mandated by CA Sri Lanka.

2.3 Taxation

By assisting with tax compliance, Bakertilly Edirisinghe & Co. insight into how professionals manage tax administration for businesses and individuals.

2.4 Financial Management

Bakertilly Edirisinghe & Co. offer budgeting, forecasting, and cash flow analysis to help clients optimize their resources.

2.5 Information Technology

I observed IT governance and how security audits maintain data integrity during the audit process.

2.6 Other Relevant Areas

I received exposure to Corporate Secretarial Services and learned the importance of professional ethics when handling client information.

CHAPTER 03 – Five Issues/Limitations in the Production of Accounting Information

Navigating practical challenges during my internship significantly shaped my professional growth and technical expertise. Here is how I adapted to five key hurdles:

1. **Managing Tight Deadlines:** Handling strict audit and tax deadlines simultaneously taught me how to manage my time and prioritize multiple complex tasks effectively.
2. **Technical Standards:** Applying complex accounting and auditing standards to real-world scenarios was initially challenging but became clearer with consistent guidance from senior staff.
3. **Team Environment:** Collaborating with diverse professionals taught me how to actively listen and contribute constructively, even when approaching problems differently.
4. **Confidence Under Pressure:** Balancing continuous learning with high-performance expectations helped me build resilience and manage workplace stress proactively.
5. **Financial Analysis:** Analyzing financial statements trained me to be highly detail-oriented, allowing me to identify discrepancies with much greater precision.

CHAPTER 04 – Interpersonal Relations Experienced

Building strong workplace relationships was essential for my development at the firm. By focusing on clear communication and active listening, I collaborated effectively within diverse teams to achieve our collective goals. This collaboration allowed me to navigate complex, high-pressure audit environments with confidence and maturity.

CHAPTER 05 – Impression of the Need for Career Development

My internship demonstrated that long-term career success requires continuous practical development alongside academic theory.

1. **Behavioral Growth & Professional Maturity** - Communicating directly with senior auditors boosted my confidence when presenting findings and audit queries. I learned how to function effectively within a structured team, understanding how my specific tasks impacted the final audit opinion. Managing heavy workloads during peak seasons also improved my ability to remain productive under stress and adapt quickly to new industries.

2. **Professional Mindset & Core Work Ethics** - The firm instilled a strong sense of professional skepticism in me, teaching me to critically evaluate the true substance of transactions rather than accepting surface-level data. Because small errors can severely impact audit quality, I was encouraged to adopt a "zero mistakes" mindset and take full accountability for meeting strict deadlines. Crucially, I gained a deep understanding of the objectivity and confidentiality required when handling client information.

3. **Practical Expertise & Technical Advancement -** I shifted my approach toward risk-based auditing, focusing my testing on areas with the highest likelihood of material misstatement. I also gained hands-on experience applying SLFRS/LKAS and statutory requirements from the IRD and ROC, bridging the gap between legal theory and practice.

CHAPTER 06 – Work Performance

During my six-month tenure, my performance spanned six key functional areas, focusing on applying my theoretical HNDA concepts within a professional audit network.

Tasks Performed:

- **Financial Accounting:** Assisted in preparing trial balances and financial statements, ensuring ledger entries aligned strictly with the double-entry system.

XYZ (Pvt) Ltd. 2024/25
Trial Balance as at 31 Mar, 2025

Account Description	Client TB		Journal entries		Finally TB	
	Debit	Credit	Debit	Credit	Debit	Credit
SHARE CAPITAL	-	400,000	-	-	-	400,000
SSCL Payable	-	67,324	-	-	-	67,324
VAT CONTROL A/C	-	-	-	-	-	-
MR. ABC	#N/A	#N/A	-	-	#N/A	#N/A
MR. PQR	#N/A	#N/A	-	-	#N/A	#N/A
MRS. DEF	#N/A	#N/A	-	-	#N/A	#N/A
PROPOSED DIVIDENDS	-	-	-	-	-	-
LOAN - DEF	#N/A	#N/A	-	-	#N/A	#N/A
MR.SDK - LOAN	#N/A	#N/A	-	-	#N/A	#N/A
LOAN - MR.ABC	-	-	-	-	-	-
LOAN-MR. EFG	-	-	-	-	-	-
ABANS ENGINERING	-	-	-	-	-	-
SEYLAN BANK LOAN	-	-	-	-	-	-
SMIB - LOAN	-	-	-	-	-	-
WESTERN PROVINCE PROVINCIAL COUNCIL	-	-	-	-	-	-
ACCRUED EXPENSES	-	3,832,163	-	-	-	3,832,163
CREDITORS	-	-	-	-	-	-
DEPOSIT PAYABLE	-	-	-	-	-	-
E.P.F. PAYABLE	-	293,636	-	-	-	293,636
E.T.F. PAYABLE	-	44,045	-	-	-	44,045
P.A.Y.E. PAYABLE A/C	-	-	-	-	-	-
PROV FOR DEPRECIATION - AIR CONDITIONER	-	279,657	90,429	280,847	-	470,075
PROV FOR DEPRECIATION - ELECTRICAL EQUIPMI	-	-	-	-	-	-
PROV FOR DEPRECIATION - FIRE EXTINGUISHERS	-	-	-	-	-	-
PROV FOR DEPRECIATION - FURNITURE & FITTING	-	-	-	-	-	-
PROV FOR DEPRECIATION - TOOLS & EQUIPMENT	-	-	-	-	-	-
PROV FOR DEPRECIATION - MOTOR VEHICLES	-	259,115	252,969	73,750	-	79,896

Figure 2- Trail Balance

XYZ (PVT) LTD
STATEMENT OF FINANCIAL POSITION

As at 31 March	Note	2025 Rs.	2024 Rs.
Assets			
Current assets			
Inventories		4,099,937	4,376,747
Trade and other receivables	08	3,391,344	1,363,275
Cash and cash equivalents	09	1,053,040	2,835,952
		8,544,321	8,575,974
Total assets		**8,544,321**	**8,575,974**
Equity and liabilities			
Equity			
Stated capital	10	30	30
Retained earnings		1,597,825	1,235,658
Shareholders funds		1,597,855	1,235,688
Non Current Liabilities			
Retirement Benefit Obligation	14	147,650	-
		147,650	-
Current liabilities			
Trade and other payables	11	5,466,475	4,919,092
Income tax liability	12	271,550	-
Borrowing	13	1,060,789	2,421,194
		6,798,814	7,340,286
Total equity and liabilities		**8,544,319**	**8,575,974**

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Figure 3- Statement of Financial Position

XYZ (PVT) LTD
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31 March	Note	2025 Rs.	2024 Rs.
Revenue	03	59,243,408	53,133,394
Cost of sales		(37,098,603)	(32,601,069)
Gross profit		22,144,805	20,532,325
Other income	04	7,298	65
Distribution cost		(12,052,699)	(13,112,196)
Administration expenses		(9,456,857)	(8,242,130)
Profit from operations	05	642,547	(821,936)
Finance income	06.1	167,758	867,465
Finance cost	06.2	(168,198)	(73,561)
(Loss) / Profit before income tax		642,107	(28,032)
Income tax credit / (expenses)	07	(279,938)	-
(Loss) / Profit for the year		**362,169**	**(28,032)**
Other comprehensive income		-	-
Total comprehensive income for the year		**362,169**	**(28,032)**

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Figure 4- Statement of Profit or Loss

XYZ (PVT) LTD
STATEMENT OF CHANGES IN EQUITY

For the year ended 31 March 2025

	Stated capital Rs.	Retained earnings Rs.	Total Rs.
For the year ended 31 March 2024			
Balance as at 01 April 2023	30	1,263,689	1,263,719
Share issue during the year	-	-	-
(Loss) for the year	-	(28,032)	(28,032)
Balance as at 31 March 2024	30	1,235,658	1,235,688
For the year ended 31 March 2025			
Balance as at 01 April 2024	30	1,235,656	1,235,686
Share issue during the year	-	-	-
Profit for the year	-	362,169	362,169
Balance as at 31 March 2025	**30**	**1,597,825**	**1,597,855**

Figure 5 - Statement of Changes in Equity

XYZ (PVT) LTD
STATEMENT OF CASH FLOWS

For the year ended 31 March		**2025 Rs.**	**2024 Rs.**
Cash flow from operating activities			
Profit / (Loss) before taxation		642,107	(28,031)
'provission for gratuity		147,650	
Operating profit / (loss) before working capital change		789,757	(28,031)
Decrease / (Increase) in inventories		276,809	(2,722,430)
(Decrease / Increase in trade and other receivable		(2,028,070)	2,294,934
Increase / (decrease) in trade and other payables		547,383	(4,841,206)
Cash (used in) operating activities		(414,121)	(5,296,733)
Income tax paid		(8,388)	(374,901)
Net cash (used in) operating activities		**(422,509)**	**(5,671,634)**
Net increase / (decrease) in cash and cash equivalents		(422,509)	(5,671,634)
		-	-
Cash and cash equivalents at the beginning of the year		414,758	6,086,392
Cash and cash equivalents at the end of the year	**09.1**	**(7,751)**	**414,758**

Figure 6- Statement of Cash flow

XYZ (PVT) LTD
SIGNIFICANT ACCOUNTING POLICIES TO THE FINANCIAL STATEMENTS

For the year ended 31 March 2025

Note 01 – Corporate information

1.1 – General
The Company is a limited liability Company incorporated on and domiciled in Sri Lanka. The Registered Office of the Company is located at .....

The principal place of business is at the same location.

1.2 – Principal activities and nature of operations
The company has commenced its' commercial operations from and during the year, the Company was involved in Importation supply and Installation of Building Glass and Mirrors and Framing.

1.3 – Approval of financial statements
These financial statements have been approved for issue by the Board of Directors on .....

Note 02 – Summary of significant accounting policies

2.1 – General accounting policies

2.1.1 – Basis of preparation
The financial statements are prepared by XYZ (Pvt) Ltd., in accordance with the Sri Lanka Financial Reporting Standard for Small and Medium-sized Entities (hereafter referred to as the "SLFRS for SMEs") issued by the Institute of Chartered Accountants of Sri Lanka (ICASL). The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated. They are presented in Sri Lankan Rupees (Rs.).

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Figure 7- Accounting Policies

XYZ (PVT) LTD
NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31 March		**2025 Rs.**	**2024 Rs.**
Note 03 – Revenue			
Sales Framing		-	-
Sales Glass		4,520,948	635,400
Sales Installation		34,439,045	43,220,737
Sales Mirrors		16,297,763	9,277,257
Sales miscelleneous		3,985,652	-
		59,243,408	**53,133,394**
Note 04 – Other income			
Other Income		7,298	65
		7,298	**65**
Note 05 – Profit / (loss) from operations is stated after charging all expenses inc			
Cost of sales		37,098,603	32,601,069
Auditors remuneration		76,200	69,250
Employee benefit expenses	**Note 05.**	12,624,829	10,498,797
Other expenses		8,808,527	10,786,278
Total cost of sales,		**58,608,159**	**53,955,394**
Note 05.1 – Employee benefits expense			
Salaries and wages		11,449,019	9,399,876
EPF		789,493	700,360
ETF		189,599	175,090
Overtime		196,718	223,471
		12,624,829	10,498,797
Note 06 – Net finance cost			

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Figure 8-Notes

- **Auditing:** Conducted substantive testing, which included verifying physical assets and vouching expenses against supporting documents.
- **Taxation:** Supported the tax department by computing VAT and Income Tax liabilities, ensuring adherence to IRD filing deadlines.

				TIN:
FINAL INCOME TAX COMPUTATION				ID No:
YEAR OF ASSESSMENT 2024/25				Page No. 01 Of 02
				Rs.
Sources of Income			**Exempt**	
Liable Income -				
Employment Income	1			2,000,000
Investment Income	2			
- Interest Income				100,000
- Rent Income				-
- Dividend Income				-
Business Income				-
Other Income				-
ASSESSABLE INCOME				**2,100,000**
Less :				
Personal Allowance				(1,200,000)
Rent Relief				-
TAXABLE INCOME				**900,000**
			Tax on Taxable Income	
			500,000 6%	30,000
			400,000 12%	60,000
			- 18%	-
			- 24%	-
			- 30%	-
			- 36%	-
Tax Liability for the Year			**#####**	**90,000**
Installment Tax Payment				
01st Installment				-
02nd Installment				-
03rd Installment				-
04th Installment				-
Final Payment				
PAYE				10,000
WHT on Interest				25,000
C/F WHT				-
Balance Tax Payable/(Refund Due)				**125,000**

Page 1

TAX | NOTE | ASSETS AND LABILITIE

XYZ (PVT) LTD
YEAR OF ASSESSMENT 2024/2025
COMPUTATION OF INCOME TAX PAYABLE

					Rs
COMPUTATION OF TAXABLE INCOME			**NOTES**		
Assessable Income from Business		*Schedule A*			-
Tax loss claimed					-
					-
Assessable Income from Investment					
Interest income					169,725
Tax loss claimed			*04*		(169,725)
TAXABLE INCOME					-
INCOME TAX PAYABLE					
Tax on business income	@	30%		-	-
Tax on investment income	@	30%		-	-
				-	
					-
Less : Tax credits					
WHT			*05*	21,209	
Previous Year Refund				-	(21,209)
Balance income tax payable / (refund)					(21,209)

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Figure 9-Income Tax Computations

- **Financial Management:** Evaluated client liquidity by analyzing cash flow statements and performing bank reconciliations.

[redacted] (PVT) LTD
STATEMENT OF CASH FLOWS

For the year ended 31 March	Note	2025 Rs.	2024 Rs.
Cash flows from operating activities			
Profit before income tax		2,705,193	9,404,454
Adjustments for non cash items			
Depreciation of property, plant and equipment		4,036,051	3,341,527
Amortization of software		97,296	97,296
Interest income		(57,743)	(74,293)
Operating profit before working capital change		6,780,797	12,768,984
Changes in working capital			
(Increase) in trade and other receivables		(5,644,322)	(1,136,029)
Increase in trade and other payables		1,530,130	338,840
Cash generated from operations		2,666,604	11,971,795
Income tax paid		-	(920,435)
Net cash generated from operating activities		2,666,604	11,051,360
Cash flows from investing activities			
Acquisition of property, plant and equipment		(4,358,962)	(4,525,489)
Interest received		57,743	74,293
Net cash (used in) investing activities		(4,301,219)	(4,451,196)
Cash flows from financing activities			
Proceeds from / (repayment of) borrowings		(297,346)	(4,755,581)
Net cash (used in) financing activities		(297,346)	(4,755,581)
Net change in cash and cash equivalents		(1,931,961)	1,844,583
Cash and cash equivalents at the beginning of the year		5,406,037	3,561,454
Cash and cash equivalents at the end of the year	11.1	3,474,077	5,406,037

All values are in Sri Lanka Rupees, unless otherwise stated. Figures in brackets indicate deductions.

The accounting policies and notes to the accounts form an integral part of these financial statements.

Figure 10- Cash Flow

N.4
Client : XYZ (Pvt) Ltd.
Period : Year Ended 31/03/2025
Currenc : LKR

Cash & Bank
Bank reconciliations For 31-March-2025

Prepared by : Rumeshika
Reviewed By :

Bank Account Details

Bank Name : Sampath Bank PLC
Branch : Fort 012
Account No. :
Account Type : Current Account
Currency : LKR

Ledger Code	Description	Index	Balance as at 31.03.2025	Index	Balance as at 01.04.2024	Variance Amount	Variance %
100000	Balance as per ledger		70,282		51,902	18,380	35%
			70,282		51,902		

	Index	Amount (LKR)	Index
Balance as per Cash Book		70,282	
Add			
Unpresented Cheque		-	
Less			
Unrealized Cheque		-	
Balance as per Bank Statement		70,282	

Bank Statement

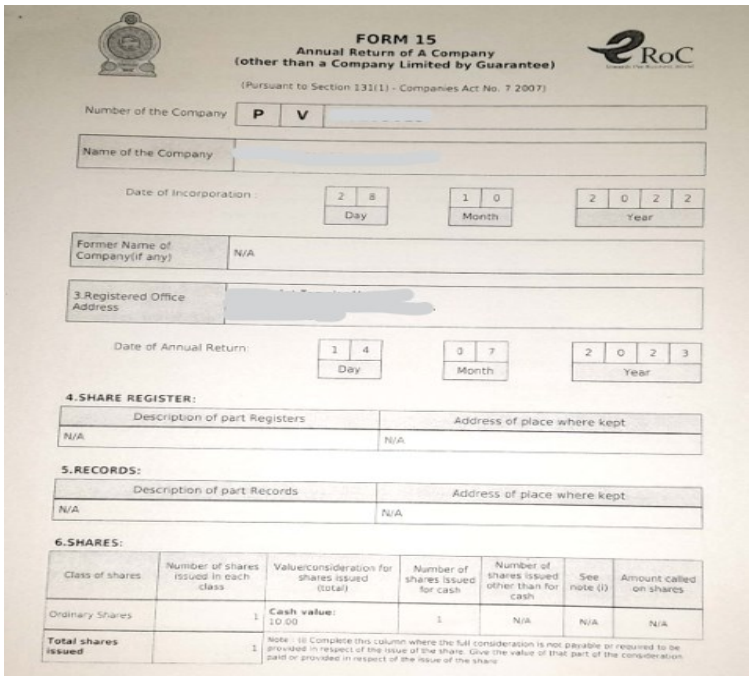
Bank Confirmation

Balance as per reconciliation	70,282
Balance as per ledger	70,282
Difference	-

Figure 11- Bank Reconciliation

- **Information Technology:** Utilized specific audit software and advanced Excel functions to process large datasets.

- **Other Areas:** Engaged in corporate secretarial tasks and observed the application of professional ethics.



FORM 15
Annual Return of A Company
(other than a Company Limited by Guarantee)

(Pursuant to Section 131(1) - Companies Act No. 7 2007)

Number of the Company: P V

Name of the Company:

Date of Incorporation: 28 (Day) 10 (Month) 2022 (Year)

Former Name of Company(if any): N/A

3.Registered Office Address:

Date of Annual Return: 14 (Day) 07 (Month) 2023 (Year)

4.SHARE REGISTER:

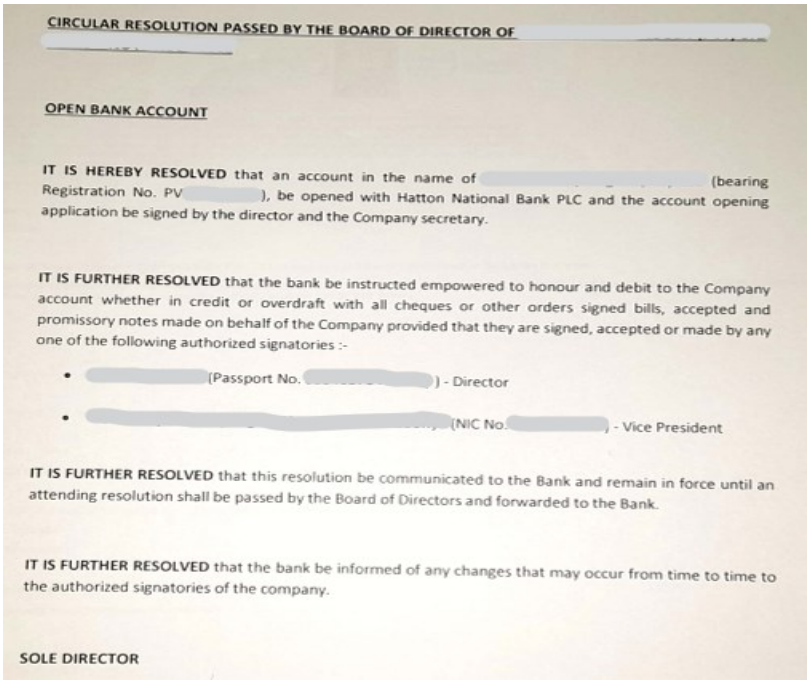
Description of part Registers	Address of place where kept
N/A	N/A

5.RECORDS:

Description of part Records	Address of place where kept
N/A	N/A

6.SHARES:

Class of shares	Number of shares issued in each class	Value/consideration for shares issued (total)	Number of shares issued for cash	Number of shares issued other than for cash	See note (i)	Amount called on shares
Ordinary Shares	1	Cash value: 10.00	1	N/A	N/A	N/A
Total shares issued	1	Note : (i) Complete this column where the full consideration is not payable or required to be provided in respect of the issue of the share. Give the value of that part of the consideration paid or provided in respect of the issue of the share				



CIRCULAR RESOLUTION PASSED BY THE BOARD OF DIRECTOR OF

OPEN BANK ACCOUNT

IT IS HEREBY RESOLVED that an account in the name of (bearing Registration No. PV), be opened with Hatton National Bank PLC and the account opening application be signed by the director and the Company secretary.

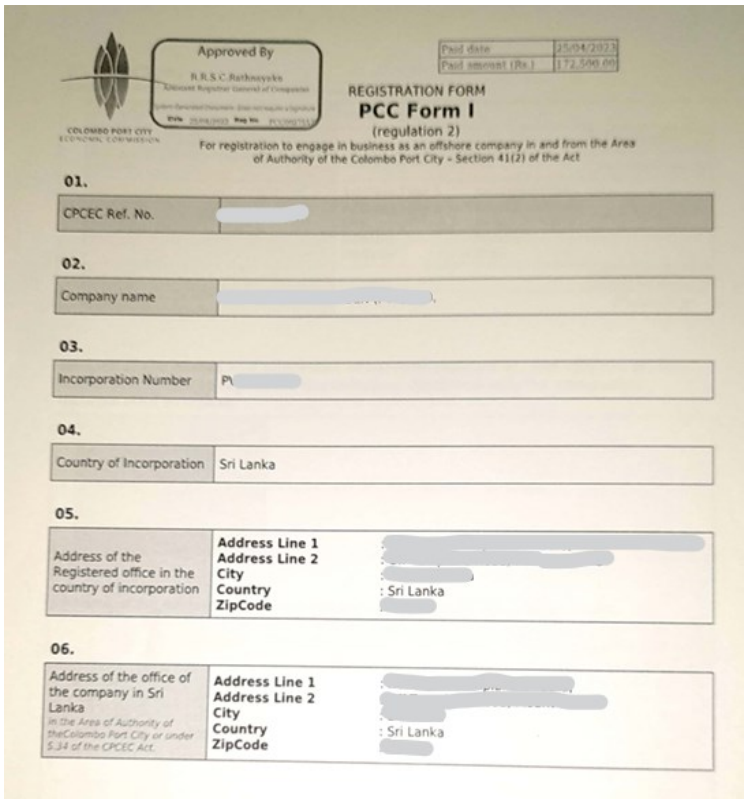
IT IS FURTHER RESOLVED that the bank be instructed empowered to honour and debit to the Company account whether in credit or overdraft with all cheques or other orders signed bills, accepted and promissory notes made on behalf of the Company provided that they are signed, accepted or made by any one of the following authorized signatories :-

- (Passport No.) - Director
- (NIC No.) - Vice President

IT IS FURTHER RESOLVED that this resolution be communicated to the Bank and remain in force until an attending resolution shall be passed by the Board of Directors and forwarded to the Bank.

IT IS FURTHER RESOLVED that the bank be informed of any changes that may occur from time to time to the authorized signatories of the company.

SOLE DIRECTOR



COLOMBO PORT CITY ECONOMIC COMMISSION

Approved By
R.R.S.C.Rathnayake
Director General of Companies

Paid date	25/04/2023
Paid amount (Rs.)	172,500.00

REGISTRATION FORM
PCC Form I
(regulation 2)
For registration to engage in business as an offshore company in and from the Area of Authority of the Colombo Port City - Section 41(2) of the Act

01.
CPCEC Ref. No.

02.
Company name

03.
Incorporation Number: P

04.
Country of Incorporation: Sri Lanka

05.
Address of the Registered office in the country of incorporation
Address Line 1 :
Address Line 2 :
City :
Country : Sri Lanka
ZipCode :

06.
Address of the office of the company in Sri Lanka
in the Area of Authority of theColombo Port City or under S.34 of the CPCEC Act.
Address Line 1 :
Address Line 2 :
City :
Country : Sri Lanka
ZipCode :

FORM 2A

ශ්‍රී ලංකා ප්‍රජාතාන්ත්‍රික සමාජවාදී ජනරජය
இலங்கை ஜனநாயக சோசலிச குடியரசு
Democratic Socialist Republic of Sri Lanka

Company Number: P V OC

2007 අංක 7 දරන සමාගම් පනත
2007 ஆம் ஆண்டின் 7ஆம் இலக்கக் கம்பனிகள் சட்டம்
The Companies Act No 7 of 2007

පෞද්ගලික සමාගම සංස්ථාගත කිරීමේ සහතිකය
தனியார் கம்பனி கூட்டிணைப்புச் சான்றிதழ்
Certificate of Incorporation of a Private Company
5 වන වගන්තිය අනුව රීතිය 5 இன படி Pursuant to Section 5

(පීවීටී) එල්ටීඩී

2007 අංක 7 දරන සමාගම් පනත යටතේ අවශ්‍යතා සපුරා ඇති බැවින් පෞද්ගලික සමාගමක් වශයෙන් අද දින සංස්ථාගත කළ බවත්, එහි සමාගම සීමාසහිත බවත් මෙයින් සහතික කරමි.
දෙදහස් විසි දෙක ක් වූ ඔක්තෝබර් මස විසි අට වන බෙදින කොළඹදී අත්සන්කොට දුනිමි.

(பீவீடீ) எல்டீடீ

2007 ஆம் ஆண்டின் 7 ஆம் இலக்க கம்பனிகள் சட்டத்தின் கீழான எல்லாத் தேவைப்பாடுகளும் இணங்கியொழுக்கப்பட்டு இத் திகதியன்று தனியார் கம்பனியாக கூட்டிணைக்கப்பட்டுள்ளது என்றும் அக்கம்பனி மட்டுப்படுத்தப்பட்டதென்றும் நான் இதனால் சான்றளிக்கிறேன்.
இரண்டாயிரத்து இருபத்திரெண்டாம் ஆம் ஆண்டு ஒக்டோபர் மாதம் இருபத்தெட்டாம் திகதியன்று கொழும்பில் எனது கையொப்பத்திட்டுக் கொடுக்கப்பட்டது.

I hereby certify that

(PVT) LTD

On this day has been incorporated as a Private Company With Limited Liability having complied with the requirements of the Companies Act No. 7 of 2007.
Given under my hand at Colombo, on this **Twenty Eighth** day of **October Two Thousand Twenty Two**

Figure 12 - Secretarial Documents

Challenges Faced, Observations, and Recommendations

Below are five key issues observed during the audit process

1. Inadequate Depreciation Documentation

- **Observation:** I reviewed a client's Excel-based Fixed Asset Register that lacked critical data fields such as Asset IDs, Depreciation Rates, and Net Book Value (NBV). The manual layout, utilizing merged cells and inconsistent date formats, made automated calculations or digital reconciliations with General Ledger impossible.
- **Impact:** This disorganized structure violates LKAS 16 documentation requirements. Without individual asset tracking and clear formulas, there is a high risk that the Net Profit is misstated due to incorrect depreciation expenses.
- **Recommendation:** The client must implement a structured Asset Register with unique IDs and automated depreciation formulas to ensure data is accurate enough for monthly reconciliations.

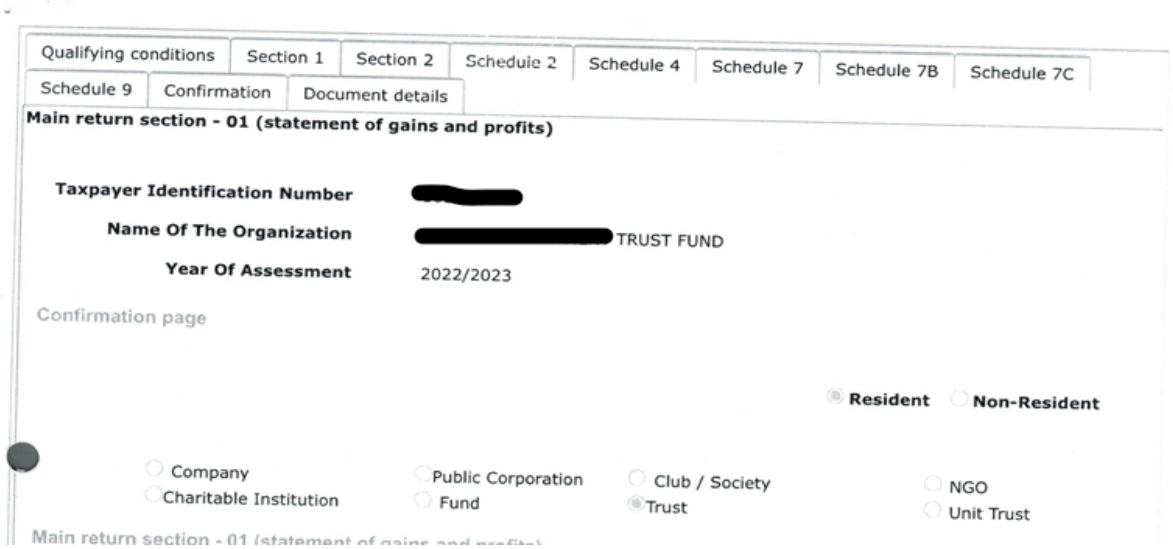
ABC (Pvt)Ltd
Asset Register as at 28th October-2011

Asset	Item of Asset	Cost	Purchase date
* Office Equipments	Cannon Scaner-300/300F	6,000.00	13/02/2005
	Fax Machine-Canon	44,500.00	28/05/2007
		50,500.00	
* Computer & Accessories	HP-PC+LCD Monitor	76,000.00	7/9/2009
	Acer VT 5600G/P4 Computor	88,000.00	23/06/2004
	UPS	4,200.00	23/06/2004
	LBP Laser Beam Printer	20,500.00	23/06/2004
	HP Laser Printer	22,500.00	4/5/2011
		211,200.00	
* Furniture & Fittings	02-Tabales	17,478.00	24/05/2004
	04-Ex Chairs	15,792.00	24/05/2004
	02- Ex Chairs	12,278.00	24/05/2004
	02-Normal Chairs	13,048.00	24/05/2004
	01-Computer Table	4,522.00	24/05/2004
		63,118.00	
* Mobile Phones	01-Nokia 3310 Phone	14,000.00	24/05/2004
		14,000.00	
	Total	338,818.00	

Figure 13 - Fixed Assets Register

2. Mismatch Between Client Representations and Tax Filings

- **Observation:** While representing a Trust at the IRD, a significant conflict was identified. The firm represented the entity as a Charitable Institution (14% tax rate), but the IRD Commissioner revealed the founder had declared it as a Company (30% tax rate). Previous tax returns were filed at the corporate rate, and the Deed of Transfer lacked charitable objectives.
- **Impact:** The Commissioner rejected professional submission due to the lack of documentary evidence. This discrepancy damaged the firm's credibility and exposed the client to potential legal penalties and back-tax liabilities spanning 2.5 years.
- **Recommendation:** Auditors must never rely solely on verbal explanations. A mandatory "Documentary Audit"—reviewing Deeds and prior tax filings—must be performed before any IRD engagement to ensure representations are anchored in a verified paper trail.


Qualifying conditions | Section 1 | Section 2 | Schedule 2 | Schedule 4 | Schedule 7 | Schedule 7B | Schedule 7C
Schedule 9 | Confirmation | Document details

Main return section - 01 (statement of gains and profits)

Taxpayer Identification Number [redacted]

Name Of The Organization [redacted] TRUST FUND

Year Of Assessment 2022/2023

Confirmation page

Resident Non-Resident

Company
Charitable Institution
Public Corporation
Fund
Club / Society
Trust
NGO
Unit Trust

Main return section - 01 (statement of gains and profits)

Return / Schedule Management | Return Issuance | Refund (/NULL) | Payment | Taxpayer Registration | Clearance | Direction

Qualifying conditions | Section 1 | Section 2 | Schedule 2 | Schedule 2B | Schedule 4 | Schedule 7 | Schedule 7B | Schedule 7C | Schedule 9 | Schedule 10 | Confirmation | Document details

Main return section - 01 (statement of gains and profits)

Taxpayer Identification Number [redacted]

Name Of The Organization [redacted] TRUST FUND

Year Of Assessment 2024/2025

Confirmation page

Resident **Non-Resident**

Company | Public Corporation | Club / Society | NGO
Charitable Institution | Fund | Trust | Unit Trust

Main return section - 01 (statement of gains and profits)

Return / Schedule Management | Return Issuance | Refund (/NULL) | Taxpayer Registration | Clearance | Direction | Appeal >

Qualifying conditions | Section 1 | Section 2 | Schedule 2 | Schedule 4 | Schedule 7 | Schedule 7B | Schedule 7C | Schedule 9 | Schedule 10 | Confirmation | Document details

Main return section - 01 (statement of gains and profits)

Taxpayer Identification Number [redacted]

Name Of The Organization [redacted] TRUST FUND

Year Of Assessment 2023/2024

Confirmation page

Resident **Non-Resident**

Company | Public Corporation | Club / Society | NGO
Charitable Institution | Fund | Trust | Unit Trust

Main return section - 01 (statement of gains and profits)

Figure 14 - Corporate Income Tax Returns

3. Inconsistencies in Intercompany Eliminations

- **Observation:** A group comprising a spice manufacturer, a farm, and a resort used separate ledger codes for identical intra-group transactions. At year-end, subsidiary balances were manually transferred to the parent company as "processing fees". This manual offset lacked a clear, matching audit trail during the initial stages of consolidation.

- **Impact:** This manual process carries a high risk of violating SLFRS 10, which requires the full elimination of intra-group transactions. If these manual entries are inaccurate, the group's consolidated profit and net assets will be overstated. Forcing balances to zero without an audit trail makes it difficult to verify the accuracy of the consolidation.
- **Recommendation:** The group should establish a monthly "Intercompany Matrix" to ensure “Due From" in the parent’s books exactly matches the "Due To" in the subsidiary’s books. Transitioning to a unified ERP system that automates eliminations will mitigate the high risk of human error.

D29 =D21+D28

2024-25			APRIL	MAY	JUNE	JULY	AUGUST	SEPTEMBER	OCTOBER	NOVEMBER	DECEMBER	JANUARY	FEBRUARY	MARCH
ABC code	DEF code													
727065	668002	Rate & Taxes	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)	(2,444)
717015	666006	Insurance	(17,669)	(17,669)	(18,025)	(24,284)	(24,284)	(24,284)	(24,284)	(24,284)	(24,284)	(24,284)	(24,284)	(24,284)
717014	668000	Welfare	(8,791)	(10,259)	(137,490)	(7,067)	(8,374)	(1,090)	(74,418)	(24,786)	(11,772)	(256,820)	(244,877)	(127,706)
717008	666013	Telephone	(5,792)	(10,350)	(6,264)	(4,290)	(1,878)	(5,792)	(7,244)	(11,514)	(7,629)	(7,430)	(8,128)	(4,165)
688019	666003	Bonus	-											(947,907)
688018	666002	Meals	(129,737)	(258,292)	(230,965)	(229,007)	(229,722)	(253,503)	(344,019)	(306,891)	(262,954)	(307,464)	(326,250)	(342,617)
688017	666001	Security	(162,920)	(165,810)	(147,770)	(169,000)	(151,860)	(154,850)	(152,760)	(159,900)	(157,420)	(150,910)	(160,850)	(151,100)
	200020	Security		(163,800)										
688011	664006	Machinery	(785,500)	(117,306)	(334,243)	(450,749)	(163,679)	(239,050)	(698,409)	(133,068)	(560,338)	(152,356)	(446,675)	(455,382)
680011	664007	Electricity	(284,759)	(339,512)	(452,664)	(408,165)	(140,978)	(460,528)	(451,374)	(551,640)	(465,198)	(420,105)	(385,141)	(391,471)
664006	664005	ETF	(46,969)	(46,969)	(45,523)	(45,000)	(43,781)	(53,520)	(53,520)	(61,414)	(60,563)	(61,538)	(63,470)	(74,648)
664005	664004	EPF	(187,875)	(187,875)	(182,091)	(179,999)	(175,123)	(214,079)	(214,079)	(245,656)	(242,252)	(246,151)	(253,878)	(298,592)
664003	666004	Incentive	(345,321)	(345,321)	(946,282)	(330,185)	(797,547)	(598,676)	(618,676)	(945,919)	(692,245)	(603,057)	(591,941)	(907,351)
664000	664000	Salary	(1,589,898)	(1,605,898)	(1,516,091)	(1,557,065)	(1,459,356)	(1,974,022)	(1,950,022)	(2,359,981)	(2,224,044)	(2,198,611)	(2,248,454)	(2,661,294)
787000	680001	Interest on O/D	-											#N/A
717005	666011	Cellular	(10,663)	-	(14,408)	(10,853)	(6,363)	(15,042)	(7,399)	(2,447)	(14,003)	(15,102)	(29,833)	(16,898)
717006	666012	Professional Fee	-		(55,000)	-	-	-	-	-	-	-	-	-
717012	717012	Registration & subs	-								-	-	(29,200)	-
	200016	ABC	(3,578,337)	(3,271,504)	(4,089,258)	(3,418,109)	(3,205,387)	(3,996,881)	(4,598,648)	(4,829,945)	(4,725,144)	(4,446,272)	(4,815,425)	#N/A
787003	680000	Interest on loan												
664004	668003	Gratuity	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)	(45,512)
787001	668004	Bank charges												
717011	666014	Donation	(30,000)	-	(40,000)	-	20,000	-	-	-	-	(20,000)	-	(20,000)
688031	666005	Depreciation	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)
680062	570001	Cost of service chg	(494,462)	(416,346)	(612,468)	(512,907)	(480,326)	(593,935)	(677,146)	(710,564)	(695,892)	(659,650)	(708,531)	#N/A
			(769,974)	(661,857)	(897,979)	(758,419)	(705,837)	(839,447)	(922,658)	(956,076)	(941,403)	(925,161)	(954,043)	#N/A
		Processing fee	(4,348,311)	(3,933,362)	(4,987,238)	(4,176,528)	(3,911,224)	(4,836,328)	(5,521,306)	(5,786,021)	(5,666,547)	(5,371,433)	(5,769,468)	#N/A
			(3,853,849)	(3,517,016)	(4,374,770)	(3,663,621)	(3,430,898)	(4,242,393)	(4,844,159)	(5,075,457)	(4,970,655)	(4,711,783)	(5,060,937)	#N/A
		balance	(494,462)	(416,346)	(612,468)	(512,907)	(480,326)	(593,935)	(677,146)	(710,564)	(695,892)	(659,650)	(708,531)	#N/A
			0	0	0	0	0	0	0	0	0	0	0	#N/A

Figure 15- GL Codes

4.Technical Competency Gaps and Accounting System Misalignment

- **Observation:** A construction company replaced its accountant with a General Manager who lacked technical accounting expertise. Consequently, the audit team received General Ledger reports from an Indian "Tally" system formatted in a way that was unfamiliar to local auditors.
- **Impact:** A lack of technically qualified leadership increases the risk of material errors. Using a non-standard system format without a clear bridge to local requirements caused significant delays during the audit process.
- **Recommendation:** The client should provide technical accounting training to the manager and develop a standardized reporting template to bridge their accounting system's output with local audit requirements.

XYZ Lanka (P) Ltd
Ledger Account
1-Apr-25 to 31-Mar-25

Ledger: **XXXX Services Pvt L** **1-Apr-24 to 31-Mar-25**

Date	Particulars		Vch Type	Vch No.	Debit	Credit
30-Apr-24	Dr	Office Maintainence	Journal	20		247,692.30
15-May-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	28	247,692.30	
31-May-24	Dr	Office Maintainence	Journal	49		247,692.30
20-Jun-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	66	247,692.30	
30-Jun-24	Dr	Office Maintainence	Journal	65		247,692.30
24-Jul-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	92	247,692.30	
31-Jul-24	Dr	Office Maintainence	Journal	86		247,692.30
18-Aug-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	115	247,692.30	
31-Aug-24	Dr	Office Maintainence	Journal	112		247,692.30
23-Sep-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Journal	125	247,692.30	
30-Sep-24	Dr	Office Maintainence	Journal	130		247,692.30
31-Oct-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	173	247,692.30	
17-Nov-24	Dr	Office Maintainence	Journal	159		248,223.07
29-Nov-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	204	248,223.07	
30-Nov-24	Dr	Office Maintainence	Journal	169		248,223.07
21-Dec-24	Cr	HSBC LKR A/c No.xxxxxxxxxxxxx	Payment	227	248,223.07	
31-Dec-24	Dr	Office Maintainence	Journal	193		248,223.07

Ledger Vouchers | Sheet1 | +

Figure 16- Ledger Account

5. Inventory Quantity Mismatches

- **Observation:** During physical stock counts at client warehouses, frequent discrepancies were identified between the physical quantities on hand and the balances recorded in the computerized system. This suggests weak internal controls regarding stock movements.
- **Impact:** Persistent mismatches lead to a Material Misstatement in the financial statements. Specifically, Current Assets and the Cost of Goods Sold (COGS) are incorrectly reported, distorting the company's gross profit margin and overall liquidity.
- **Recommendation:** Clients should adopt a Cycle Counting method, counting small sections of stock regularly throughout the year to catch and fix errors immediately.

As Per Inventory Valuation					As Per Physical Report	Differene
Item Code	Item Name	Closing Qty.	Rate	Value		
Liquid Foods						
FS/LI/0041	VINEGAR	7	229.12	1,604	6	1
FS/LI/0007	COCONUT OIL - VEGITABLE OIL	61.5	673.53	41,422	51	11
House Keeping						
HK/HK/0008	BULB PIN	7	174.74	1,223	15	(8)
HK/HK/0002	MORTEIN SPRAY CAN (400ML)	1	1,033.02	1,033	-	1
Cutlery and Cookery						
	Tea Sppoons	142	275.00	39,050	148	(6)
	Water Globlets	116	550.00	63,800	38	78
	Side Plate	277	475.00	131,575	207	70
	White Wine Glass	41	604.76	24,795	17	24
	Red Wine Glass	25	330.00	8,250	16	9
Dry Foods						
FS/VG/0003	B.ONION	45.65	583.35	26,630	50	(4)
FS/DF/0032	CHILLI POWDER	8	1,287.71	10,302	5	3
FS/DF/0043	COCONUT	158	129.91	20,526	146	12
FS/DF/0266	GINGER PRESSERVED	1.9	3,600.00	6,840	-	2

Figure 17- Inventory Valuation Report

CHAPTER 07 – Conclusion

The industrial training experience during the 6 months period with Bakertilly Edirisinghe & Co. between August 18, 2025, and February 18, 2026, is a landmark experience in my career. The given internship was effective in terms of narrowing the gap between the theoretical knowledge of the Higher National Diploma in Accountancy (HNDA) and the real application of the global standards, such as SLFRS, LKAS, and SLAuS in the professional practice in the context of the high-pressure environment of the financial audit.

The practical engagement in various fields, including financial accounting, statutory audit, and taxation, helped me to understand the implementation of all the global standards into professional practice much better. Additional competencies that were honed during the internship included participating in risk-based auditing, executing substantive testing, and working with the use of advanced audit software and Excel functions to work with complex data.

In addition to technical skills, the internship helped me to acquire necessary soft skills. I developed a healthy professional skepticism and learned how to uphold ethical standards and keep confidential information secret, as well as how to be more resilient when faced with heavy deadlines at the busiest times of the year.

Working alongside senior professionals and to different teams also helped me to develop my communication skills and professional maturity, as the issues I have had to solve, including determining the problem of inventory mismatches, overcoming technical competency gaps within clients, and providing the right intercompany elimination were important to make me understand the necessity of detailed documentation and the zero mistake attitude.

These observations have not only equipped me with a good ground base in the audit and accountancy profession but have also given me a sense of dedication to lifelong learning. I believe that the skills, morals, and work experience acquired in this time would be an important asset in my future career as an accounting professional.